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POLICY NUMBER: HWI-HSM-004

PROGRAM POLICY

PURCHASE CARD

This policy establishes the policies and guidelines governing the Purchasing Card (P-Card) program. The purpose is to provide the P-Card holder (Cardholder) and Approving Manager(s) with clear policies for P-Card usage and approval. This policy is to be reviewed by [\[the SVP of Hilton Supply Management\]](#) on an annual basis.



CARD APPLICATION, APPROVAL AND ISSUANCE

Eligibility for Company P-Card

Company P-Cards may only be issued to Team Members with employee ID numbers who complete and submit the required documentation, which must be approved by their manager if on-property, approval is required by the property GM for a decentralized hotel or the Regional Director of Finance for a centralized hotel. Team Members are required to read and accept the P-Card Policy in its entirety and complete formal online training before a card can be issued.

Under no circumstances can the P-Card be used for personal or team member travel/business expense purposes (see Travel and Expense Reimbursement Policy).

Approvers (See Approvals below) must review the P-Card Policy and complete training.

Online training will be available through Hilton University and completion of the course will be documented.

The Cardholder's manager will contact the Corporate P-Card Administrator for Application Instructions.

Limitations & Restrictions

A credit limit will be established for each card based upon the department's spending needs. The standard for total spend during the billing period is \$50,000. Card limits will be reviewed periodically by the Corporate P-Card Administrator and/or audit department and may be decreased or increased based on business need and usage.

Based on the department's spending needs, a single transaction limit will be placed on the card. The standard transaction limit is \$5,000 (for corporate users; refer to Credit Limit Guidelines on page 8 for hotel users). This means the card will be declined in the event of an attempt to purchase more than the set amount at one time. Splitting transactions to avoid exceeding this limit may result in the loss of P-Card privileges and other disciplinary actions.

Transaction and Monthly limits will be monitored and/or audited periodically and are based on business need and usage.

Each P-Card is linked to a specific department and individual employee, and the card may not be used by another employee or transferred from one employee to another.

P-Card purchases should only be incurred in the event that the items being purchased are not available through Hilton Supply Management. Approved Suppliers who have agreed to accept Hilton Worldwide Holdings Inc.'s P-Card are preferred vendors when purchasing goods or services.

Only one P-card will be issued to an employee. Multiple cards will not be issued to employees who purchase goods and services for more than one Property or Business Unit. Cardholders with purchasing needs for more than one Property or Business Unit, will need to allocate expenses to the correct Property, or Business Unit, within the Concur system.

Sharing of the card and / or account number is strictly prohibited and may result in automatic cancellation of the card and disciplinary action.

Hilton Worldwide Holdings Inc. reserves the right to cancel the employee's purchasing privileges at any time for any reason. Additionally, managers are also responsible for ensuring transactions are in compliance with Policy as they approve the transactions, and therefore may also be subject to disciplinary actions in the event misuse or non-compliance with Policy.

CARD AND ACCOUNT MANAGEMENT

Lost and Stolen Card Process

In the case of a lost or stolen card, the Cardholder must notify the Card Company immediately. A separate, secondary notice is to be sent to the Corporate P-Card administrator.

P-Card Cancellation

Terminated Team Members, those no longer having a business requirement, and/or those losing P-card privileges must return the card to their manager upon demand. The Manager is responsible for initiating the cancelling of the account by sending immediate notice to the Corporate P-Card Administrator to have the account cancelled and destroying the card. The P-Card Administrator will have the account cancelled.

Team Member Transfers Process

Should a cardholder be transferred to a new business unit, the existing card will be cancelled per the P-Card Cancellation procedure above. A new P-Card may be issued, if required, in the new position.

Program Summary

The P-Card is designed to be a non-travel company issued credit card to purchase high volume (occurring more often than quarterly), low dollar (\$5,000 or less per transaction), one-time purchases or invoices for approved goods and services provided the vendor does not charge a processing fee. (Please refer to Appendix 4 Credit Limit Guidelines).

The P-Card program is a company liability program in which all expenses incurred on the credit card are paid directly by Hilton Worldwide Holdings Inc. to the credit card provider on a monthly basis.

The P-Card Program enables Hilton Worldwide Holdings Inc. to streamline the procurement process and shorten the cycle time for procuring services and products; and reduces the "Procure-to-Pay" procedures and processing costs by eliminating the need for petty cash vouchers and Accounts Payable check payments. The program also earns a rebate to the company and provides data for procurement to analyze high volume, low dollar value purchases.

SCOPE

This policy applies to all Hilton Worldwide Holdings Inc. Team Members, both corporate and property level (excluding franchises). For Full Service properties, managers or above, are permitted to obtain a P-Card and participate in the program. P-Cards may be requested for use on property by the Finance Manager. Requests will need to be approved by the Director of Finance or GM. For Focused Service properties, only the GM can obtain a P-Card and approval will be from the Area Vice President.

For Corporate use, P-Cards may be requested by a supervisor with approval from the VP of the cardholder's department/budget. The approval is made via email. The P-Card Program Administrator will also need to approve each request. Any exceptions will require SVP approval.

APPLICABILITY

This policy is applicable to all Hilton Worldwide Holdings Inc. Team Members and its direct or indirect subsidiaries ("Hilton Worldwide Holdings Inc.") utilizing the P-Card program to incur business related expenses on behalf of or for the benefit of Hilton Worldwide Holdings, Inc. and its direct or indirect subsidiaries ("Hilton Worldwide Holdings Inc.").

COMPLIANCE / EXCEPTIONS / NON COMPLIANCE

All Team Members, Managers and Program Administrators are required to be in compliance with the policy.

Any and all exceptions to policy require advance documented approval of Chief Accounting Officer/SVP Controller (or delegate) in conjunction with the Corporate P-Card Administrator.

Failure to comply with Hilton Worldwide Holdings Inc.'s P-Card policy and procedures or any misuse of company funds will result in cancellation of the P-Card and disciplinary action, up to and including termination of employment. In addition, the employee may face legal action if fraudulent use is has occurred. P-Card accounts will be cancelled immediately and disciplinary action will be taken should the P-Card ever be used for personal expenses.

P-Card Suspension

Should a Cardholder be on leave in excess of six weeks, the account will be suspended until the employee returns. The employee's manager is responsible for having the card suspended and reinstated upon the employee's return.

Account Maintenance

If there is a need to change any information regarding the account, such as name, business unit & department numbers, or P-Card limits, please contact the P-Card Administrator via the contact information provided in Appendix 2.

CARD USAGE

Method

The P-Card may be used via any order method, including phone, internet, fax, and / or mail orders.

Authorized Products & Services

The P-Card may be used only when conducting business on behalf of Hilton Worldwide Holdings Inc. and its direct or indirect subsidiaries ("Hilton Worldwide Holdings Inc."). P-Cards may not be used to purchase goods or services on behalf of third parties. P-Cards may only be used for authorized products and services. They are not to be used on unauthorized products and services. The following products and services represent items that may be purchased via the P-Card when conducting business on the company's behalf. Exceptions to these listed products and services require advanced documented approval from the Chief Accounting Officer/SVP Controller and the Corporate P-Card Administrator.

Authorized Products & Services

Capital items – The following is a complete list of items that are authorized to be purchased with a P-Card. Refer to the Fixed Assets Accounting Policy (Appendix 3) prior to purchasing to ensure the items are capitalizable as fixed assets.

- Fence or Pool under \$50,000
- Building improvements under \$50,000
- Laundry equipment
- Office equipment
- Office furniture
- Signage
- Sound systems

Courier services

Shipping charges

Dues and subscriptions

Gift Cards

Authorized Products & Services

Florists

Membership fees

Taxes

Inventory Items

Gasoline/Fuel

Employee Recognition

Seminars and training materials

High-volume, low-dollar commodities, such as printing and stationery; repairs and maintenance; Single transactions less than \$5,000; and supplies (office, maintenance, cleaning, etc.)

Catering Services

Utilities

Items not listed above will require exception approval.

Unauthorized Products & Services

When conducting business on the Company's behalf Cardholders cannot use their P-Card to purchase any products or services for items noted below.

Capital items – all items not listed under the Authorized Products & Services section

Cash / Cash advances

Peripherals

Computer hardware and software

Contract Labor

Items for personal use

Goods and services requiring an agreement to be signed

Donations to Charitable Organizations

Electronic auction houses (e.g., eBay) or Third Party Payment services (e.g., PayPal)

Employee relocation expenses

Payments to individuals and employees

Prescription drugs or controlled substances

Weapons or ammunition

Hazardous chemicals

Travel and Entertainment (Any and all individual travel related expenses must be charged to the Company issued corporate Travel & Entertainment card (Refer to Policy Number HWI-HSM-001 for further details).

Merchant Code Blocking

Merchant classification codes assigned to travel industry merchants (airline, hotel, car rental, fuel, etc.) are blocked on the P-Card, as the P-Card is not intended for travel expenses covered by the company Corporate Card Program. If you attempt to use your P-Card for these type of transactions your purchase may be declined and you may face disciplinary action.

Management has made an effort to ensure that vendors utilized during the normal course of business are not restricted. If your card is refused at a merchant where you believe it should have been accepted, contact your Property (Business Unit) P-Card Coordinator who will work with the P-Card Administrator to determine the reason for refusal.

MCCs may be unblocked with approval from Chief Accounting Officer/SVP Controller (or delegate) by contacting the P-Card Corporate Administrator.

Approved Suppliers

P-Card purchases should only be incurred in the event that the items being purchased are not available through Hilton Supply Management. Approved Suppliers who have agreed to accept Hilton Worldwide Holdings Inc.'s P-Card are preferred vendors when purchasing goods or services.

Any purchases that fall outside of authorized products and services should follow Hilton Worldwide Holdings Inc.'s Purchasing Policies.

RECONCILIATION AND PAYMENT

Cardholders must use Hilton's Travel & Expense System (Concur) to reconcile P- Card purchases by the close of the 24th calendar day of each month following the receipt of the expense statement. The Cardholder is to review each item on the statement, determine that the correct allocation or G/L entry has been assigned, and make corrections if necessary. You must include receipts, and any other supporting transaction documentation, for each charge (greater than \$75 for US team members and all receipts, regardless of amount, for non US team members). The receipt should include the merchant name, a list of the purchased items, including the amount for each line item, with sales tax, VAT, and freight shown separately, as applicable. All online purchases should include a print

screen, or electronic invoice with product detail clearly shown, any other support will be deemed non-compliant.

If a receipt is not available, the Cardholder must complete a Lost Receipt Affidavit (See Appendix 1) and scan, or complete the Receipt Affidavit electronic signature within Concur. Receipts are to be scanned electronically and retained and available for a period not less than four years.

APPROVALS AND AUDIT

Approving Managers

An Approving Manager will be designated for each Cardholder at the time that the P-Card is issued. For Corporate Cardholders, the Approver is generally the Cardholder's supervisor and is required to be at least a next level manager. (See Approver Responsibilities: Roles and Responsibilities). At a Full Service property, it is expected to be the Director of Finance or the GM. The statement approver at a Focused Service property will be the Area Vice President.

Program Compliance Process

Assigned Approving Managers must review the reconciled statement reports each month ensuring all Monthly Reconciliation Expense Statements have been completed electronically within four days of the statement close.

DEFINITIONS

TERM/ACRONYM	DEFINITION
P-Card	Corporate Purchasing Card
Team Members	Hilton Worldwide Holdings Inc. Team Members. Direct employees of Hilton Worldwide Holdings Inc.
Corporate P-Card Administrator	Senior Hilton Executive responsible for the P-Card program
Hilton's Travel & Expense System	Online Expense Management tool (Concur)
Monthly Expense Statement	Reconciled Accounting of P-Card Expenses
Finance Director	Individual responsible for their unit's financial health. For example, the Property (or Business Unit) Director of Finance.
Card Company	Hilton's contracted P-Card Provider
Full Service property	Property under the Hilton, Waldorf-Astoria, Conrad, Embassy Suites, DoubleTree, Curio, or Tapestry Collection brands, who typically have a dedicated accounting team and dedicated Director of Finance.
Focused Service property	Property under the Hampton Inn, Homewood Suites, Hilton Garden Inn, Home2 Suites, or Tru brands, who typically does not have its own property level accounting function or Director of Finance.

RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
Code of Conduct (Conflicts of Interest, and Ethics & Compliance)	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Code%20Of%20Conduct.pdf
Travel and Expense Reimbursement Policy	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Business%20Travel%20and%20Expense%20Reimbursement%20Policy.pdf
Purchasing Policy - Goods and Services	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Purchasing%20Policy%20-%20Goods%20and%20Services.pdf
Corporate Spending and Contract Execution	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Corporate%20Spending%20and%20Contract%20Execution.docx
Hotel Operations Contract Execution and Spending Policy	https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Hotel%20Operations%20Contract%20Execution%20and%20Spending%20Policy.pdf

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Cardholder	• Reviewing P-Card policy on an annual basis; • Completing required P-Card Cardholder training; • Reading and signing Purchase Card Application/Acknowledgement Form; • Ensuring that the policies of the P-Card Program are followed, as well as other related Hilton policies outlined in Related Documents, Tools, and Templates section, and the Code of Ethics; • Obtaining and retaining receipts for their transactions; • Completing the monthly reconciliation report; • Protecting the card at all times to prevent unauthorized use and not sharing or authorizing others to use the card; • Immediately report a lost or stolen card to the Card Company. Hilton is liable for all charges incurred on a lost or stolen card until the time that it is reported to the Card Company, and; • Notifying the Approving Manager of transfer or termination, who then notifies the P-Card Administrator; and • Retaining documentation of any approved exceptions to the policy for support for expense submission and future audit.
Approver	• Reviewing P-Card policy on an annual basis; • Completing required P-Card Approving Manager training; • Monitoring transactions of assigned Cardholder(s) for appropriateness of purchase; • Ensuring required receipts are attached for each transaction; • Verifying statement charges are accurate; • Identifying possible violations of policy by assigned Cardholder(s) ensuring charges are for legitimate business reasons; • Taking appropriate action if violations are found, including cancellation of the P-Card; • Ensuring statement reconciliation reports are submitted by the Cardholder according to established guidelines (See Reconciliation and Payment); • Approving expense reports according to established guidelines (See Reconciliation and Payment); and not delegating the approval responsibility to another staff member [this will violate policy]; and • Immediately notifying the Corporate P-Card Administrator of personnel status changes such as leave of absence, termination or transfer .
Corporate P-Card Administrator	• Reviewing P-Card Policy on an annual basis; • Ensure that all requests for P-Cards are appropriate and are approved by the appropriate level of management; • Assigning Approving Managers for each Cardholder and ensure the correct email, credit card number and employee ID is added to the account; • Ensuring that each Team Member signs and submits all the necessary documentation before a card is issued; • Considering exceptions to limits with advanced documented approval of a SVP or higher; • Considering exceptions to blocked MCC vendors; • Cross referencing list of issued P-Cards against active team members; • Reviewing monthly reports on un-submitted Reconciliation Statements and suspicious activity; and • Acting as Liaison with the Properties and the Card Company.

APPENDICES

APPENDIX 1. LOST RECEIPT AFFIDAVIT

LOST RECEIPT AFFIDAVIT

Date Charge Incurred: _____

Supplier: _____

Amount: _____

Business Purpose: _____

Cardholder Printed Name: _____

Cardholder Signature: _____

Date: _____

Manager Printed Name: _____

Manager Approval Signature: _____

Date: _____

APPENDIX 2. CONTACT INFORMATION

Card company's direct contact information

JPMorgan Chase

Cardholder Customer Service

Verification Required:	Cardholder General Inquiries: 800-270-7760 or
• Account Number	
• Last 4 digits of SSN	Outside US 847-488-3748
• Date of birth (MM/DD)	TTY 800-955-8060

Serves as initial contact for cardholders supporting functions such as: card activation, account and transaction queries, lost/stolen cards, disputes, declined authorizations, etc.

P-Card Administrator and Concur Assistance

Katrina M Berryhill, P-Card Manager
(901) 374-5357
katrina.mooreberryhill@hilton.com
755 Crossover Lane
Memphis, TN 38117

Alison M. Webster, Sr. P-Card Analyst
(901) 748-8365
alison.webster@hilton.com
755 Crossover Lane
Memphis, TN 38117

APPENDIX 3. FIXED ASSETS POLICY

<https://lobby.hilton.com/sites/policiesprocedures/Policies%20%20Procedures/Fixed%20Asset%20Accounting%20Policy.pdf>

APPENDIX 4. CREDIT LIMIT GUIDELINES

Corporate team members:

\$5,000 transaction limit; \$50,000 monthly limit

Full Service Hotel team members (size based on 2018 HAFS property listing) or as determined by DOF:

Large Hotels

\$50,000 transaction limit; \$750,000 monthly limit

Medium Hotels

\$25,000 transaction limit; \$500,000 monthly limit

Small Hotels

\$10,000 transaction limit; \$100,000 monthly limit

Focused Service Hotel team members:

\$1,000 transaction limit; \$5,000 monthly limit

POLICY NUMBER: HWI-HSM-004
POLICY OWNER: Hilton Supply Management
LAST UPDATED: 02/15/18